THE AGNIPATH COMPENSATION PACKAGE

YEAR	BASIC PAY PER MONTH	PAY IN HAND (70%)	CONTRIBUTION TO SEVA NIDHI (30%)	GOVT CONTRIBUTION TO SEVA NIDHI
1st	₹30,000	₹21,000	₹9,000	₹9,000
2nd	₹33,000	₹23,100	₹9,900	₹9,900
3rd	₹36,500	₹25,580	₹10,950	₹10,950
4th	₹40,000	₹28,000	₹12,000	₹12,000
Total contribution to Seva Nidhi after 4 years			**₹5.02 lakh**	**₹5.02 lakh**

EXIT AFTER 4 YEARS

Rs 11.71 LAKH as Seva Nidhi package
(including interest accrued on the amount)

OTHER BENEFITS

LIFE COVER
Rs 48 lakh

DISABILITY (WHILE IN SERVICE)
Rs 15-44 lakh one-time ex-gratia depending on extent of injuries

DEATH (WHILE IN SERVICE)
Rs 44 lakh ex-gratia; plus salary for remaining period of service

- Fresher Agniveers will get a basic salary of Rs 30,000/ month, plus additional allowances for risk and hardship, rations, dress and travel. The salary goes up every year
- 30% of the basic will be deducted as contribution to the Seva Nidhi scheme. The state will contribute an equal amount every month
- After four years, the Agniveer gets the money accrued in his Seva Nidhi account, plus interest. The sum would be Rs 11.71 lakh, exempt from income tax. There will be no pension.
- Agniveers get a life insurance cover of Rs 48 lakh
- In case of death within the four-year period and if it is in the line of duty, the Agniveer's family gets an additional Rs 44 lakh ex-gratia as well as the salary for the remaining unserved term of service
- In case of an injury leading to disability, depending upon the extent of it, the Agniveer can claim Rs 15-44 lakh as a one-time ex-gratia payment



result, the navy has been forced to cut down its planned warship strength from 200 to 130; the air force has been stuck at 30 squadrons when its sanctioned strength is 42. As for the army, a vice-chief told a parliamentary committee in 2018 that 70 per cent of its equipment is "vintage".

The shortfall in budget allocations against the projected needs of the three services is growing. According to a report by the standing committee on defence looking into the budget for 2022-23, there has been a steady shortfall of over Rs 70,000 crore in the past few years between what the military has sought and what it has been allocated in the annual budget. This year, the shortfall has gone beyond Rs 1 lakh crore.

In all these years, there has also been a clear understanding that the real problem is manpower management. That's because the current system of recruitment, service and pension has reached a point where pensions account for nearly a quarter of the defence budget and a similar proportion makes up the pay and allowances of the service personnel. These two heads total up to a figure higher than the allocation for capital outlays. Since pay, pension and maintenance of equipment must be provided for, there is a serious deficit in capital outlays needed for modernisation.

So yes, the Agnipath could free up more money, though the government hasn't quite made any promises there. The more troubling aspects of the scheme are the quality of personnel the scheme will yield. Normal basic military training right now is about a year followed by at least another six months of professional training where the tank man learns to operate a tank and the artillery gunner to handle his gun. Proficiency in technical work needed for many air force and navy jobs requires even more time.

But the current scheme provides for just six months' basic training for the Agniveer. The authorities say they will train them on the job. But then, what will be the balance of the service s/